

Meeting of the Board of the Central Bank of Armenia
Minutes on Refinancing Rate
(31.01.2023)

The Central Bank of Armenia Board meeting of January 31, 2023 attended by Governor Martin Galstyan, Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan, and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, Narek Ghazaryan

The meeting of the Board of the Central Bank of Armenia started with presentation of the Situation Report as of January 31, 2023. The inflation, external environment, and real, fiscal, financial and monetary sector developments were addressed.

Current developments in the external sector were presented. It was noted that in the global economy in the fourth quarter, trends of a certain slowdown in economic activity continued, although expectations for the short-term outlook were revised upward owing to anticipations of a faster economic recovery amid the easing of pandemic restrictions in China. However, in anticipation of weak demand of the global economy and tightening of financial conditions, a drop in prices of some products is observable in international commodity markets, which is also reflected in the decrease in global inflation. Yet, influenced by persistently strong demand and inflation expectations, the inflation environment remains high in the main partner countries of Armenia. Under these conditions, central banks of developed countries will continue to tighten monetary conditions in the near future. As a result of such actions, the global demand will further weaken to a certain extent and prices in international commodity markets will decrease, contributing to mitigation of the global inflationary environment and the alleviation of inflationary effects spilled over from the external sector to the Armenian economy.

The Board discussed the developments of the Armenian economy; it was stated that high economic activity persisted at the end of 2022 too, thanks to strong external demand generated especially in the services sector. High growth was also recorded in the construction sector. At the same time, trends of increasing export and output potential in the services and industry sectors continued.

The developments of the Armenian financial market were addressed; it was noted that in the fourth quarter the short-term market rates shaped around the policy rate. In the meantime, with the relatively positive economic outlook of developing countries and influenced by some factors specific to the Armenian economy, country risk-premium for Armenia came about lower than expected. According to the results of the Central Bank survey of the Armenian financial system, the expectations of the system regarding the policy rate have somewhat softened, reflecting market expectations of easing inflation risks.

Inflation developments were also presented to the Board; it was stated that 1.1% inflation was registered in December 2022 against that of 1.6% in the same month last year. During the month, inflation was driven by 1.4% rise in food prices and 0.4% increase in service tariffs, while non-food prices remained unchanged in the course of the month. **As a result, the 12-month inflation continued to decline to 8.3% at the end of the month. The 12-month core inflation also trended down, to 9.5%.** Moreover, the Board noted that the overall inflationary environment in Armenia gradually mitigated as a result of the contractionary monetary policy implemented by the Central Bank, the dram appreciation and the weakening inflationary impact from the external sector, while also stated that the persisting high demand significantly contributes to the growth of wages and prices of individual goods and services.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board began addressing the macroeconomic scenarios and monetary policy directions and making decision on the policy interest rate. In view of the aforementioned macroeconomic situation, the Forecasting Team proposed to the Board scenarios describing possible monetary risks derived from upcoming economic development outlooks. The Board members admitted

that, on the one hand, the inflationary effects transmitted from the external sector to the Armenian economy kept on weakening thanks to consistent monetary policy of central banks in the main partner countries of Armenia and, on the other hand, there was still strong demand and high inflation expectations in the Armenian economy. Most members of the Board believed that the monetary policy implemented in such a situation and dram appreciation let their effect gradually spill over to regulating demand and inflation, which is why, given the country's risk premium tending to decrease, there is currently no need to change the monetary conditions. At the same time, some members thought that the considerable impact of high demand on wages and inflation needed to be highlighted and the policy rate increase continued. As a result, the **Board of the Central Bank of Armenia decided in a majority vote to leave the refinancing rate unchanged for now.** The Board also endorsed its commitment in taking adequate measures to stabilize inflation and neutralize any risk of deanchoring of inflation expectations. Under the presented monetary policy scenario, the 12-month inflation will gradually decrease and, starting from the second half of 2023, stabilize around the 4% target.

The Board of the Central Bank estimated that the risks of inflation deviating from the projection path are mostly balanced. In the case of risks emerging in any direction, the Board will adequately react and ensure the goal of price stability.

The Board approved the decision on interest rates of the CBA monetary instruments and the proposed press release, which are attached hereto.

Deciding on the interest rate

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On Setting Interest Rates of Monetary Policy Instruments of the Central Bank of Armenia, and Press Release on Refinancing Rate

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 10.75%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 12.25%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 9.25%.
4. Approve the press release on refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

M. Galstyan,

**Governor of the Central Bank
of the Republic of Armenia**

c. Yerevan

PRESS RELEASE

31.01.2023

At the January 31, 2023 meeting, the Board of the Central Bank of Armenia (CBA) decided to leave the refinancing rate unchanged at 10.75%.

In December 2022, the 12-month inflation continued to decrease and reached 8.3% at the end of the year. The 12-month core inflation also decreased, reaching 9.5%.

At the end of 2022, the slowing of global economic activity and that of the main partner countries to Armenia continued. Likewise, the global inflation is reducing, due to decline of some raw materials and commodity prices. However, a relatively expanded demand still contributes to sustaining the inflationary environment. Therefore, central banks of developed countries will continue to tighten monetary conditions in the near future. This will contribute to the weakening of global demand and some price adjustment in international commodity markets. Subsequently, the inflationary effects on the Armenian economy from the world economy are expected to weaken.

At the end of 2022, the economic activity in Armenia remained strong, which continued to be supported by high external demand in the services sector. At the same time, trends of increasing export and potential GDP have sustained. As a result of the implemented contractionary monetary policy, the dram appreciation, and weakening of the inflationary impact from the external sector, the overall inflation environment in Armenia is gradually mitigating. High demand is also reflected in the labor market and contributes to the growth of wages and prices of individual goods and services.

The Board of the CBA finds it appropriate to leave the policy rate unchanged. The Board of the CBA will be committed to ensuring price stabilization and prevent any risk of deanchoring inflation expectations. According to the outlined monetary policy scenario, the 12-month inflation will gradually decline and stabilize around the 4% target from the second half of 2023,.

The Board of the CBA estimates that the risks of inflation deviation from the projected path are mainly balanced; should the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

In case of using the Press Release, the reference to the original source is mandatory.

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